

Section : Economics

Q.1 Calculate the value of Real GDP for the year 2023

Year Output (units) Market Price (in ₹)

2022 150 10

2023 200 20

1. ₹ 4,000

2. ₹ 2,000

3. ₹ 3,000

4. ₹ 1,500

Options 1. 1

2. 2

3. 3

4. 4

Q.2 Arrange the steps involved in preparation of the government budget.

(A) Discussion and approval by the parliament.

(B) Preparation of budget by the Ministry of Finance.

(C) Implementation by the government.

(D) Approval by the Cabinet.

Choose the correct answer from the options given below:

1. (A), (D), (B), (C)

2. (B), (D), (A), (C)

3. (B), (A), (D), (C)

4. (A), (B), (D), (C)

Options 1. 1

2. 2

3. 3

4. 4

Q.3 The problem 'For whom to produce' is basically concerned with.....

1. Production of goods and services.

2. choosing appropriate technique of production.

3. distribution of output in the society.

4. choosing among the commodities for production.

Options 1. 1

2. 2

3. 3

4. 4

Q.4 Which of the following makes GDP an inappropriate index of welfare?

(A) Distribution of GDP.

(B) Externalities.

(C) Non-monetary exchanges.

(D) Price Index.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only

2. (B) and (D) only

3. (A), (C) and (D) only

4. (A), (B) and (C) only

Options 1. 1

2. 2

3. 3

4. 4

Q.5 Which of the following cost curve has the shape of a rectangular hyperbola?

1. Average Cost Curve.

2. Marginal Cost Curve.

3. Average Fixed Cost Curve.

4. Variable Cost Curve.

Options 1. 1

2. 2

3. 3

4. 4

Q.6 When demand curve shift rightward and supply curve shift leftward what impact this will have on pricing?

1. Price decreases.

2. Remain Same.

3. Price increases.

4. May increase may decrease.

Options 1. 1

2. 2

3. 3

4. 4

Q.7 Which of the following system is followed by the Reserve Bank of India for issuing currency?

1. Proportionate system.

2. Minimum Reserve System.

3. Simple Deposit System.

4. Fixed fiduciary issue System.

Options 1. 1

2. 2

3. 3

4. 4

Q.8 When consumer consumes a part of change in income, which of the following is true?

1. $MPC > 1$

2. $MPC < 1$

3. $MPC = 0$

4. $0 < MPC < 1$

Options 1. 1

2. 2

3. 3

4. 4

Q.9 Match List-I with List-II

Change in Demand or Supply	Effect on equilibrium price / equilibrium quantity
(A) Increase in demand > Increase in supply	(I) equilibrium price will rise but no change in equilibrium quantity.
(B) Increase in supply when demand is perfectly inelastic	(II) No change in equilibrium price.
(C) Same proportion of increase in demand and supply	(III) equilibrium price will fall but no change in equilibrium quantity.
(D) Increase in demand when supply is perfectly inelastic	(IV) equilibrium price and quantity will rise.

Choose the correct answer from the options given below:

1. (A) - (IV), (B) - (III), (C) - (II), (D) - (I)
2. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
3. (A) - (III), (B) - (II), (C) - (IV), (D) - (I)
4. (A) - (IV), (B) - (I), (C) - (II), (D) - (III)

Options 1. 1

2. 2
3. 3
4. 4

Q.10 Match List-I with List-II

List-I	List-II
(A) Control Price	(I) Set below the equilibrium price
(B) Floor Price	(II) Fixed by the government for the labourers
(C) Minimum Wage Legislation	(III) Set above the equilibrium price
(D) Market Equilibrium	(IV) when demand and supply curve intersect.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (III), (C) - (II), (D) - (IV)
3. (A) - (III), (B) - (I), (C) - (II), (D) - (IV)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.11 In an Economy, total savings are rs. 2000 crores and the ratio of average propensity to save and average propensity to consume is 2: 7. Calculate the level of income in the economy?

1. 2000 crores.
2. 7000 crores.
3. 9000 crores.
4. 14,000 crores.

Options 1. 1

2. 2
3. 3
4. 4

Q.12 Quantitative instruments of monetary policy focus on:

- (A) Quantity of money across selected sectors of the economy.
- (B) Overall supply of money in the economy.
- (C) Credit creation capacity of commercial banks.
- (D) Inflationary and deflationary gaps in the economy.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (A), (C) and (D) only
3. (A), (B), (C) and (D)
4. (B), (C) and (D) only

Options 1. 1

2. 2
3. 3
4. 4

Q.13 Downward movement along the demand curve is caused by.....

1. Fall in price of the given commodity.
2. rise in the price of Substitute goods.
3. Rise in price of the given commodity.
4. fall in the price of Substitute goods.

Options 1. 1

2. 2
3. 3
4. 4

Q.14 At the equilibrium point when $C = 100 + 0.5Y$ and $I = 200$ saving will be.

1. 600
2. 400
3. 200
4. 100

Options 1. 1

2. 2
3. 3
4. 4

Q.15 Arrange the stages of price determination in a perfect competition market:

- (A) Estimate the market demand and supply.
- (B) Firms adjust production to maximize profit.
- (C) Equilibrium price is established.
- (D) Short-run profit attracts new firms.

Choose the correct answer from the options given below:

1. (A), (C), (B), (D)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (C), (B), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.16 Which of the following transaction is not included in national income?

1. Brokerage for facilitating sale of old car.
2. Interest paid by production units to households.
3. Payment of GST by firms to the government.
4. Interest paid by banks on deposits by individuals.

Options 1. 1

2. 2
3. 3
4. 4

Q.17 At zero level of output, if the total cost(TC) is 20. What will be the value of the Average Fixed cost (AFC) at the 6th level of output?

1. 2.86
2. 20
3. 3.33.
4. 120

Options 1. 1

2. 2

3. 3

4. 4

Q.18 Match List-I with List-II

List-I

(A) GDP at constant price

(B) GDP at current price

(C) Welfare of the people

(D) Factor Income

List-II

(I) known as Nominal GDP

(II) Increases only when there is increase in the quantum of output in the economy.

(III) known as earned income

(IV) Measured in terms of the availability of goods and services

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (II), (B) - (I), (C) - (III), (D) - (IV)
3. (A) - (I), (B) - (II), (C) - (IV), (D) - (III)
4. (A) - (II), (B) - (I), (C) - (IV), (D) - (III)

Options

1. 1

2. 2

3. 3

4. 4

**Q.19 What will be the value of Marginal utility of the 4th unit
Units consumed Total Utility derived (utils)**

1 10

2 8

3 5

4 2

1 . 8 utils

2. -3 utils

3 3 utils

4 25 utils

Options

1. 1

2. 2

3. 3

4. 4

Q.20 Which of the following includes replacement investment?

1. Gross Investment.

2. Interest on capital.

3. Net Investment.

4. Investment Expenditure.

Options

1. 1

2. 2

3. 3

4. 4

Q.21 Electronic transfer of money in terms of credit/ debit entries of the account-holders in the banks is called,

1. e-marketing.

2. e-business.

3. e-fund.

4. e-banking.

Options

1. 1

2. 2

3. 3

4. 4

Q.22 Instead of outright sale of securities, the Central Bank may sell securities through an agreement which has a specification about the date and price at which it will be repurchased. This type of agreement is called..... The rate at which money is withdrawn in this manner is called.....

1. open market operations, bank rate.
2. open market operations, repo rate.
3. repurchase agreement, repo rate.
4. reverse repurchase agreement, reverse repo rate.

Options 1. 1

2. 2
3. 3
4. 4

Q.23 The rate at which consumer is willing to substitute one good for another is represented by.....

1. Marginal rate of transformation.
2. Slope of indifference curve.
3. Price Ratio.
4. optimum choice of the consumer.

Options 1. 1

2. 2
3. 3
4. 4

Q.24

Match List-I with List-II

List-I

(A) Capital consumption

(B) Part of raw material which gets used up

(C) A stock variable

(D) A flow variable

List-II

(I) Value added

(II) Intermediate consumption

(III) Depreciation

(IV) Inventory

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (II), (C) - (III), (D) - (IV)
2. (A) - (I), (B) - (IV), (C) - (II), (D) - (III)
3. (A) - (III), (B) - (II), (C) - (IV), (D) - (I)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.25 Arrange the steps to calculate Net National Product at market Price by Income Method.

- (A) Identify and add factor Income (Rent, wages, interest and profit).
- (B) Add Net factor income from abroad.
- (C) Add Net Indirect Taxex.
- (D) Add mixed income of self-employed.

Choose the correct answer from the options given below:

1. (A), (B), (C), (D)
2. (A), (D), (C), (B)
3. (B), (A), (D), (C)
4. (A), (C), (D), (B)

Options 1. 1

2. 2
3. 3
4. 4

Q.26 Match List-I with List-II

List-I

List-II

(A) Secondary Deposits (I) Initial deposits with commercial banks

List-I

(B) Primary Deposits

(C) Currency Deposit ratio

(D) Fiat money

List-II

(II) The ratio of money held by the public in currency to that held at deposits in commercial banks.

(III) No intrinsic value

(IV) Demand deposits which come back to Commercial bank through lending process.

Choose the correct answer from the options given below:

1. (A) - (I), (B) - (IV), (C) - (II), (D) - (III)
2. (A) - (IV), (B) - (I), (C) - (II), (D) - (III)
3. (A) - (III), (B) - (I), (C) - (II), (D) - (IV)
4. (A) - (III), (B) - (IV), (C) - (I), (D) - (II)

Options 1. 1

2. 2
3. 3
4. 4

Q.27 Arrange the following steps involved in the process of credit creation by Commercial Banks.

- (A) The commercial bank lends the excess reserves to the borrowers.
- (B) The borrowers deposit the loaned money in the bank.
- (C) The bank keeps a portion of the lent deposit money as reserve.
- (D) The initial deposit is made in the commercial bank.

Choose the correct answer from the options given below:

1. (B), (C), (D), (A)
2. (A), (D), (C), (B)
3. (D), (C), (B), (A)
4. (D), (B), (C), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.28 Identify the flow variable from the following:

1. Annual Expenditure of a school.
2. Distance between Punjab and Haryana.
3. Bank balance of Mr. Mukesh as on 31st March 2023.
4. Investment of Mr. Mohit as on 31st December 2023.

Options 1. 1

2. 2
3. 3
4. 4

Q.29 Level of planned output coincides with planned expenditure when:

(AD = Aggregate Demand. AS= Aggregate Supply)

1. AD=AS
2. AD>AS
3. AD < AS
4. Income is Zero

Options 1. 1

2. 2
3. 3
4. 4

Q.30 Which of the following are features of a perfect competitive market?

- (A) Free entry and exit of firms.
- (B) Huge selling cost.
- (C) perfectly elastic demand curve.
- (D) perfect market knowledge among buyers.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (B), (C) and (D) only
3. (A), (C) and (D) only
4. (A), (B), (C) and (D)

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.31 "Economics is the science of wealth". This statement was given by:-

- 1. Adam Smith.
- 2. Marshall.
- 3. Robbins.
- 4. Samuelson.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.32 In an economy, the aggregate demand function is given by $AD = 80 + 0.75Y$
What will be the value of investment multiplier?

- 1. 0.25
- 2. 2
- 3. 0
- 4. 4

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.33 Revenue deficit in the government budget can be managed through:-

- (A) Borrowings from RBI.
- (B) Disinvestment.
- (C) Increasing Subsidy.
- (D) Borrowings from the general public.

Choose the correct answer from the options given below:

- 1. (A), (B) and (C) only
- 2. (A), (B) and (D) only
- 3. (A) and (D) only
- 4. (B), (C) and (D) only

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.34 Identify which of the following is an example of non-debt capital receipts.

- 1. Recovery of loans.
- 2. Financial aid from MNC for victims in a flood affected area.
- 3. Borrowings from IMF.
- 4. Dividend paid by State Bank of India to the Government.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.35 When Marginal productivity starts decreasing but remains positive, Total Productivity is.....

- 1. Decreasing.
- 2. Increases at constant rate.
- 3. Increases at Increasing rate.
- 4. Increases at diminishing rate.

Options 1. 1

- 2. 2
- 3. 3
- 4. 4

Q.36 Expenditure on the purchase of capital goods refers to.....

1. Inventory investment.
2. Fixed investment.
3. Gross investment.
4. Gross Domestic capital formation.

Options 1. 1

2. 2
3. 3
4. 4

Q.37 A perfectly elastic aggregate supply curve implies that:

- (A) There is fuller utilization of resources in the economy.
- (B) There is unemployment of resources in the economy.
- (C) There is excess capacity in the economy.
- (D) Aggregate demand is less in the economy.

Choose the correct answer from the options given below:

1. (A), (B) and (D) only
2. (B), (C) and (D) only
3. (A) and (D) only
4. (A) and (C) only

Options 1. 1

2. 2
3. 3
4. 4

Q.38 Arrange the following steps in the correct sequence to explain the working of Multiplier.

- (A) Increase in income and consumption.
- (B) Increase in investment.
- (C) Rise in aggregate demand in each round
- (D) Generation of additional income.

Choose the correct answer from the options given below:

1. (B), (A), (C), (D)
2. (A), (B), (C), (D)
3. (B), (A), (D), (C)
4. (B), (C), (D), (A)

Options 1. 1

2. 2
3. 3
4. 4

Q.39 When utility is measured in quantitative terms, it is..... of consumer equilibrium.

1. Ordinal Approach.
2. Cardinal Approach.
3. Indifference Curve approach.
4. Law of Diminishing marginal utility.

Options 1. 1

2. 2
3. 3
4. 4

Q.40 What will be elasticity of demand of a commodity when its price rises by 20% and quantity demanded falls from 125 units to 75 units?

1. $e_D = 1$
2. $e_D = 1.25$
3. $e_D = 2$
4. $e_D = 1.75$

Options 1. 1

2. 2
3. 3
4. 4

Q.41 Read the passage carefully and answer the questions based on the passage:

Macroeconomic Variables

Akriti Manufacturing Company produces flower vases. The cost of production for 100 vase includes rent of rs 10,000, salary for permanent staff of rs 10,000, cost of Labour rs 12,000 and Raw material of rs 18,000. Due to increased demand of vases the company plans to increase production to 200 vases. The variable cost per vase remains rs 300 and the fixed cost does not change.

Calculate total cost of production for producing 100 vases ?

1. 50,000
2. 60,000
3. 25,000
4. 40,000

Options 1. 1

2. 2
3. 3
4. 4

Q.42 Read the passage carefully and answer the questions based on the passage:

Macroeconomic Variables

Akriti Manufacturing Company produces flower vases. The cost of production for 100 vase includes rent of rs 10,000, salary for permanent staff of rs 10,000, cost of Labour rs 12,000 and Raw material of rs 18,000. Due to increased demand of vases the company plans to increase production to 200 vases. The variable cost per vase remains rs 300 and the fixed cost does not change.

What will be the average variable cost (AVC) for producing 200 vases?

1. 150
2. 300
3. 250
4. 600

Options 1. 1

2. 2
3. 3
4. 4

Q.43 Read the passage carefully and answer the questions based on the passage:

Macroeconomic Variables

Akriti Manufacturing Company produces flower vases. The cost of production for 100 vase includes rent of rs 10,000, salary for permanent staff of rs 10,000, cost of Labour rs 12,000 and Raw material of rs 18,000. Due to increased demand of vases the company plans to increase production to 200 vases. The variable cost per vase remains rs 300 and the fixed cost does not change.

What is the total variable cost for producing 200 vases?

1. 300
2. 30,000
3. 60,000
4. 18,000

Options 1. 1

2. 2
3. 3
4. 4

Q.44 Read the passage carefully and answer the questions based on the passage:

Macroeconomic Variables

Akriti Manufacturing Company produces flower vases. The cost of production for 100 vase includes rent of rs 10,000, salary for permanent staff of rs 10,000, cost of Labour rs 12,000 and Raw material of rs 18,000. Due to increased demand of vases the company plans to increase production to 200 vases. The variable cost per vase remains rs 300 and the fixed cost does not change.

What is the fixed cost for producing 200 vases?

1. 40,000
2. 20,000
3. 10,000
4. 50,000

Options 1. 1

2. 2
3. 3
4. 4

Q.45 Read the passage carefully and answer the questions based on the passage:

Macroeconomic Variables

Akriti Manufacturing Company produces flower vases. The cost of production for 100 vase includes rent of rs 10,000, salary for permanent staff of rs 10,000, cost of Labour rs 12,000 and Raw material of rs 18,000. Due to increased demand of vases the company plans to increase production to 200 vases. The variable cost per vase remains rs 300 and the fixed cost does not change.

If the production is increased to 300 vases, what will happen to Fixed cost per unit?

1. There will be parallel increase in fixed cost and variable cost.
2. Fixed cost will also increase.
3. Fixed cost will not change.
4. Fixed cost will decrease.

Options 1. 1

2. 2
3. 3
4. 4

Q.46 Read the passage carefully and answer the questions based on the passage:

Balance of Payment

Balance of Payment is defined as the statement of accounts of a country's inflows and outflows of foreign exchange during a specified period of time. It consists of two main accounts, i.e. Current Account and Capital Account. A deficit or surplus in the current account is determined by the country's exports and imports, whereas the capital account records transactions involving non-financial and financial assets. India's BOP typically reflects its trade deficit, services surplus and capital inflows. To finance the deficit in its overall BOP, few transactions take place in its official reserves of foreign exchange.

What is the role of official reserve account?

1. Records trade in goods.
2. Reflects errors in data.
3. Stabilize the currency and manage BOP imbalance.
4. Attracts foreign investment.

Options 1. 1

2. 2
3. 3
4. 4

Q.47 Read the passage carefully and answer the questions based on the passage:

Balance of Payment

Balance of Payment is defined as the statement of accounts of a country's inflows and outflows of foreign exchange during a specified period of time. It consists of two main accounts, i.e. Current Account and Capital Account. A deficit or surplus in the current account is determined by the country's exports and imports, whereas the capital account records transactions involving non-financial and financial assets. India's BOP typically reflects its trade deficit, services surplus and capital inflows. To finance the deficit in its overall BOP, few transactions take place in its official reserves of foreign exchange.

What could persistent current account deficit lead to?

1. Currency appreciation.
2. Increased reserves.

3. Dependence on foreign borrowings.

4. Trade surplus.

Options 1. 1

2. 2

3. 3

4. 4

Q.48 Read the passage carefully and answer the questions based on the passage:

Balance of Payment

Balance of Payment is defined as the statement of accounts of a country's inflows and outflows of foreign exchange during a specified period of time. It consists of two main accounts, i.e. Current Account and Capital Account. A deficit or surplus in the current account is determined by the country's exports and imports, whereas the capital account records transactions involving non-financial and financial assets.

India's BOP typically reflects its trade deficit, services surplus and capital inflows. To finance the deficit in its overall BOP, few transactions take place in its official reserves of foreign exchange.

What does the BOP record?

1. Transactions within a country.

2. Transactions between two countries.

3. Economic transactions between residents of a country and rest of the world.

4. Transfers in goods only.

Options 1. 1

2. 2

3. 3

4. 4

Q.49 Read the passage carefully and answer the questions based on the passage:

Balance of Payment

Balance of Payment is defined as the statement of accounts of a country's inflows and outflows of foreign exchange during a specified period of time. It consists of two main accounts, i.e. Current Account and Capital Account. A deficit or surplus in the current account is determined by the country's exports and imports, whereas the capital account records transactions involving non-financial and financial assets.

India's BOP typically reflects its trade deficit, services surplus and capital inflows. To finance the deficit in its overall BOP, few transactions take place in its official reserves of foreign exchange.

What does capital account of BOP record?

1. Imports and exports of goods.

2. Transaction of capital and financial assets.

3. Income from investment.

4. Unilateral transfers.

Options 1. 1

2. 2

3. 3

4. 4

Q.50 Read the passage carefully and answer the questions based on the passage:

Balance of Payment

Balance of Payment is defined as the statement of accounts of a country's inflows and outflows of foreign exchange during a specified period of time. It consists of two main accounts, i.e. Current Account and Capital Account. A deficit or surplus in the current account is determined by the country's exports and imports, whereas the capital account records transactions involving non-financial and financial assets.

India's BOP typically reflects its trade deficit, services surplus and capital inflows. To finance the deficit in its overall BOP, few transactions take place in its official reserves of foreign exchange.

How can a country reduce the BOP deficit?

1. Promoting exports and attracting investment.

2. Increasing imports.

3. Stopping trade with other countries.

4. Increasing domestic borrowings.

Options 1. 1

2. 2

3. 3

4. 4